

SPROUTING POSSIBILITIES

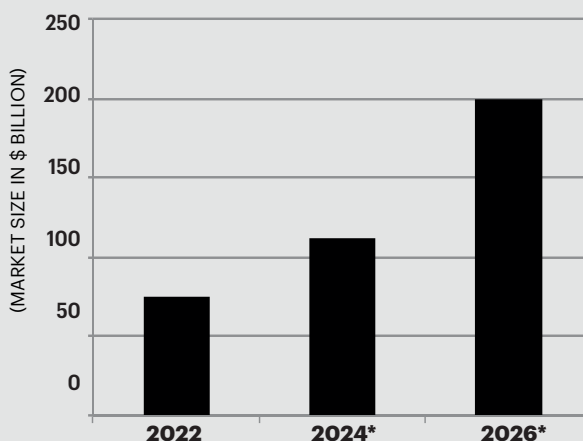
ONDC's current scope of operations

NO. OF CITIES IT IS ACTIVE IN	180
NO. OF MERCHANTS ON-BOARDED	26,000
NO. OF ORDERS (PER DAY)	200+
BUYER APPS	7
SELLER APPS	23
LOGISTICS PROVIDERS	6
TOTAL NO. OF LIVE NETWORK PARTICIPANTS	36

DATA TILL MARCH 27; **SOURCE** ONDC

E-COMMERCE EXPLOSION

India's e-commerce space is estimated to grow at a CAGR of 20-22 per cent till 2026



*ESTIMATES; **SOURCE** INGVERN RESEARCH SERVICES

online opportunity is the best way for India to reap the digital dividend for the largest section of society,” says Himanshu Chakrawarti, CEO of Snapdeal Marketplace.

ONDC expects a hockey-stick growth once these consumer tech platforms iron out the operational creases. “When PhonePe picks up pace, Paytm fixes its issues and Meesho gets up to speed, word will spread like wildfire and everybody will jump in,” says an e-commerce veteran. “Existing marketplaces will get on the network because you can’t be caught napping.”

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HOWEVER, LEADING MARKETPLACES Amazon and Flipkart have made no moves to join ONDC yet. They see the unbundled network as a suboptimal solution, while suspicion of an ulterior motive behind the move taints their perception. They feel the government wants to

“kill marketplaces”, which is against the ethos of doing business in a democracy. “The message that the government and bureaucrats are sending out is that their intention is to control these two players [Flipkart and Amazon]; they want to kill the marketplaces,” says a senior executive with one of these firms who wishes to remain anonymous. “We should remember that they are taking such an extreme view when the e-commerce market is only 6 per cent of overall retail.” The executive further adds that since Flipkart and Amazon are not inventory-based businesses, sellers are not tied to them and are free to go to anywhere, including ONDC. “Therefore, it is strange to ask a marketplace to bring its sellers to ONDC. It is basically asking the marketplaces to disband their business models,” the executive says.

The upper management of both Amazon and Flipkart are closely monitoring ONDC’s progress, but remain apprehensive about its operational efficiency and RoI potential. Their doubts revolve around talent acquisition, data ownership, order processing, and the ability to seamlessly integrate these disparate elements to create a frictionless transaction. These companies have invested billions of dollars in building an infra and